

24STCV29325 24STCV29325

County: los-angeles

Division: Civil Law and Motion

Department: 512

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Case Number: 24STCV29325 Hearing Date: September 8, 2026 Dept: 512

HEARING DATE: Tues., September 8, 2026 JUDGE /DEPT: Mkrtchyan/512

CASE NAME: Global Network Investments LLC v.

Wells COMPL. FILED: 11-07-24

Fargo Bank, N.A., et al. FAC FILED: 04-08-25

CASE NUMBER: 24STCV29325 SAC FILED: 02-17-26

NOTICE: OK

PROCEEDINGS: DEFENDANTS' MOTION FOR TERMINATING SANCTIONS; DEFENDANTS' MOTION TO STRIKE JURY DEMAND

MOVING PARTY: Defendants Wells Fargo Bank, N.A.,

as Trustee for Merrill Lynch

Mortgage Investors Trust Mortgage Loan Asset-Backed Certificates, Series 2004

WMC4; Ocwen Loan Servicing, LLC; Western Progressive, LLC

RESP. PARTY: Plaintiff

Global Network Investments, LLC for the Motion for Terminating Sanctions; None

as to the Motion to Strike Jury Demand

MOTION FOR

TERMINATING SANCTIONS; MOTION TO STRIKE JURY DEMAND

(CCP §§ 631, 2025.450, 2031.300)

TENTATIVE RULING:

Defendants Wells Fargo
Bank, N.A., as Trustee
for Merrill Lynch Mortgage Investors Trust Mortgage Loan Asset-Backed
Certificates, Series 2004 WMC4; Ocwen Loan Servicing, LLC; Western Progressive,
LLC's Motion for Terminating Sanctions against Plaintiff or in the Alternative
Continuance of Trial Date Due to Plaintiff's Failure to Comply with Discovery
Order is DENIED as to the request for
terminating sanctions. The Request for trial continuance is DENIED as moot.

Defendants Wells Fargo
Bank, N.A., as Trustee
for Merrill Lynch Mortgage Investors Trust Mortgage Loan Asset-Backed
Certificates, Series 2004 WMC4; Ocwen Loan Servicing, LLC; Western Progressive,
LLC's Motion to Strike Jury Demand is DENIED.

Moving parties are ordered
to give notice.

SERVICE:

☒ Proof of
Service Timely Filed (CRC, rule 3.1300) OK

☒ Correct Address
(CCP §§ 1013, 1013a) OK

☒ 16/21 Court
Days Lapsed (CCP §§ 12c, 1005(b)) OK

OPPOSITION: Filed
on July 28, 2026 ☒ Late ☐ None

REPLY: Filed
on July 29, 2026 ☐ Late ☐ None

ANALYSIS:

I.

Background

On November 7, 2024, Plaintiff Global Network Investments LLC ("Plaintiff") filed the instant action against Defendants Wells Fargo Bank, N.A., as Trustee for Merrill Lynch Mortgage Investors Trust Mortgage Loan Asset-Backed Certificates, Series 2004 WMC4 ("Wells Fargo"); Ocwen Loan Servicing, LLC ("Ocwen"); Western Progressive, LLC ("Western Progressive") ("Defendants") and Does 1-50.

On April 8, 2025, Plaintiff filed a First Amended Complaint ("FAC").

On February 17, 2026, Plaintiff filed a Second Amended Complaint ("SAC") and Does 1-50, alleging seven causes of action.

On April 30, 2026, the Court granted Defendants' Motion to Compel Discovery "as to GNI's person most knowledgeable and expert Beth Chrisman. Defendants' request for sanctions is GRANTED in the reduced amount of \$1,547.50 (\$425.00 per hour x 3.5 hours to draft motion and attend hearing + \$60.00 filing fee.)" (4/30/26 Order.) The Court also sustained Wells Fargo and Western Progressive's Demurrer to the Complaint without leave to amend. (4/30/26 Order.)

On May 27, 2026, Defendants filed the instant Motion for Terminating Sanctions against Plaintiff or in the Alternative Continuance of Trial Date Due to Plaintiff's Failure to Comply with Discovery Order (the "Motion").

On July 28, 2026, Plaintiff filed an Opposition.

On July 29, 2026, Defendants filed a Reply.

On August 6, 2026, the Court granted Defendants' request for monetary sanctions in the Motion and ordered Plaintiff to pay \$1,250.00 in sanctions to defense counsel within two weeks. (8/6/26 Order.) Further, the Court continued the hearing on the Motion and ordered that "Supplemental Briefs pertaining to compliance or non-compliance are to be filed

by 8/28/2026.” (8/6/26 Order.) Finally, the Court ordered counsel to meet and confer “to stipulate as to what causes of action remain and if agreeable counsel are to file a Stipulation on the record.” (8/6/26 Order.)

On August 7, 2026, Defendants filed and served notice of ruling on the Motion.

On August 10, 2026, Defendants filed the instant Motion to Strike Jury Demand (the “Motion to Strike”).

On August 14, 2026, Plaintiff filed a Notice of Posting Jury Fees.

On August 28, 2026, Defendants filed a Supplemental Brief in support of the Motion.

No Opposition to the Motion to Strike has been filed. No supplemental brief to the Motion has been filed by Plaintiff.

II.

Legal

Standard & Discussion

A. Motion for Terminating Sanctions

Legal Standard

Under Code of Civil Procedure section 2025.450, “[i]f [a] party ... fails to obey an order compelling attendance, testimony, and production, the court may make those orders that are just, including the imposition of an issue sanction, an evidence sanction, or a terminating sanction under Chapter 7 (commencing with Section 2023.010) against that party deponent or against the party with whom the deponent is affiliated. In lieu of, or in addition to, this sanction, the court may impose a monetary sanction under Chapter 7 (commencing with Section 2023.010).” (Code Civ. Proc., § 2025.450, subd. (h).)

The “court, after notice to any affected party, person, or attorney, and after an opportunity for hearing, may

impose” monetary, issue, evidence, or terminating sanctions “against anyone engaging in conduct that is a misuse of the discovery process[.]” (Code Civ. Proc., §§ 2023.030; 2023.030, subds. (a)-(d).) Failing to respond or submit to an authorized method of discovery and disobeying a court order to provide discovery are misuses of the discovery process. (Code Civ. Proc., § 2023.010, subds. (d) and (g).)

The court may impose a terminating sanction by one of the following orders:

(1) An order striking out the pleadings or parts of the pleadings of any party engaging in the misuse of the discovery process.

(2) An order staying further proceedings by that party until an order for discovery is obeyed.

(3) An order dismissing the action, or any part of the action, of that party.

(4) An order rendering a judgment by default against that party.”

(Code Civ. Proc., § 2023.030, subd. (d).)

The court should look to the totality of the circumstances in determining whether terminating sanctions are appropriate. (Lang v. Hochman (2000) 77 Cal.App.4th 1225, 1246.) Ultimate discovery sanctions are justified where there is a “willful” discovery order violation “preceded by a history of abuse,” and evidence showing that “less severe sanctions would not produce compliance with discovery rules.” (Van Sickle v. Gilbert (2011) 196 Cal.App.4th 1495, 1516.) “[A] penalty as severe as dismissal or default is not authorized where noncompliance with discovery is caused by an inability to comply rather than willfulness or bad faith.” (Brown v. Superior Court (1986) 180 Cal.App.3d 701, 707.)

Analysis

Defendants

move for terminating sanctions against Plaintiff under Code of Civil Procedure sections 2025.450 and 2031.310 on the grounds that Plaintiff has failed to comply with the Court's 4/30/26 ruling granting Defendants' discovery motion and ordering Plaintiff to produce for deposition Plaintiff's Person Most Knowledgeable and expert Beth Chrisman. (Motion, pp. 7-8, Houser Decl., ¶ 8; 4/30/26 Order.)

In Opposition, Plaintiff contends that

Plaintiff's former counsel is at fault for Plaintiff's noncompliance with the 4/30/26 Order. Further, Plaintiff states Plaintiff acted diligently in retaining new counsel, and Plaintiff's counsel has offered dates in August – namely, August 4, 2026, and August 20, 2026 – for Defendants to depose Plaintiff's Person Most Knowledgeable. Finally, Plaintiff requests that any sanctions be imposed against former counsel. A declaration from Plaintiff and Plaintiff's new counsel support the Opposition.

In Reply, Defendants highlight that

Plaintiff concedes to willful disobedience of the Court's 4/30/26 Order, and the partial offer included in the Opposition for Defendants to depose one of the two court-ordered deponents does not cure Plaintiff's noncompliance. Further, Defendants state the Court already imposed a lesser sanction that failed, Plaintiff obstructed discovery, and Plaintiff cannot escape terminating sanctions by assigning blame to Plaintiff's former counsel. Plaintiff requests the Court impose terminating sanctions or, alternatively, continue trial and order Plaintiff to pay \$1,890 in sanctions for Defendants being forced to bring the instant Motion.

On August 6,

2026, the Court granted the Motion as to monetary sanctions and ordered Plaintiff to pay defense counsel \$1,250.00 within two weeks. (8/6/26 Order.) The Court continued the Motion as to the remaining requests and allowed the parties to file supplemental briefing regarding the Motion before the next scheduled hearing. (8/6/26 Order.)

On August

28, 2026, Defendants filed a Supplemental Brief that stated Plaintiff's Person Most Knowledgeable was deposed by Defendants, and Chrisman's deposition was set for August 28, 2026. (Supp. Brief, pp. 3, 9-10.) No briefing or evidence was filed stating that the 8/28/26 deposition did not occur. Finally, the Supplemental Brief states Plaintiff paid the court-ordered monetary sanctions prior to the instant hearing date. (See Supp. Brief, pp. 3, 10.)

While the

Court acknowledges that Defendants state they experienced various issues deposing Plaintiff's Person Most Knowledgeable, the Court does not find these arguments warrant terminating sanctions at this time in light of the totality of the circumstances. Indeed, the Court finds Plaintiff has now complied with all past court orders, and the Court previously granted Defendants' monetary sanctions request in the Motion given Plaintiff's delay in complying with the Court's discovery orders. (See 8/6/26 Order.) As such, the Court finds the Supplemental Brief's arguments regarding the deficiencies in the PMK deposition are more suited for a separate discovery motion but do not warrant the imposition of terminating sanctions at this time.

Insofar as Defendants request a

trial continuance as part of the instant Motion, the Court notes that the Court recently granted Plaintiff's Ex Parte Application to Continue Trial on September 2, 2026, and that same day the Court granted the parties' oral stipulation to continue the trial from September 21, 2026, to January 4, 2027. (9/2/26 Order.)

Finally, insofar as the Opposition

requests the Court relieve Plaintiff and Plaintiff's counsel from payment of the sanctions ordered on 4/30/26, the Court finds this request is improperly raised in an opposition brief to a motion for terminating sanctions. As such, the Court does not address this request at this time.

Thus, the Motion is DENIED as to the request for terminating sanctions and continuance of trial.

B.

Motion to

Strike Jury Demand

Defendants move to strike Plaintiff's jury demand

under Code of Civil Procedure section 631 on the grounds that Plaintiff failed to timely pay the required fees by the applicable deadline, which was April 29, 2025, in this action. (See Motion to Strike, p. 3.) Defendants state that Plaintiff waived the opportunity for a jury trial, and an untimely jury payment would prejudice Defendants at this stage in the litigation as "Defendants will be forced to incur higher legal fees because jury trials are more time-consuming

and require additional legal work.” (Motion to Strike, pp. 4-5.) Further, the Motion to Strike is supported by a declaration from defense counsel stating that, due to no jury fees being posted by 8/10/26, defense counsel has “been preparing for this matter as if it was a bench trial.” (Motion to Strike, Houser Decl.)

No Opposition to the Motion to Strike was filed.

However, on August 14, 2026, Plaintiff filed a Notice of Posting Jury Fees.

Code of Civil Procedure section 631, subdivisions (b) and (c) state, in pertinent part:

At least one party demanding a jury on each side of a civil case shall pay a nonrefundable fee of one hundred fifty dollars (\$150), unless the fee has been paid by another party on the same side of the case. The fee shall offset the costs to the state of providing juries in civil cases. If there are more than two parties to the case, for purposes of this section only, all plaintiffs shall be considered one side of the case, and all other parties shall be considered the other side of the case. Payment of the fee by a party on one side of the case shall not relieve parties on the other side of the case from waiver pursuant to subdivision (f).

...

The fee described in subdivision (b) shall be due on or before the date scheduled for the initial case management conference in the action [absent certain exceptions.]

(Code Civ. Proc., § 631, subs. (b), (c).)

Code of Civil Procedure section 631, subdivision (f) states that a party waives trial by jury “[b]y failing to timely pay the fee described in subdivision (b), unless another party on the same side of the case has paid that fee.”

Code of Civil Procedure section 631, subdivision (g) states “[t]he court may, in its discretion upon just terms, allow a trial by jury although there may have been a waiver of a trial by jury.” (Code Civ. Proc., § 631, subd. (g).)

Here, the nonrefundable jury fee was due on or before the initial case management conference, which occurred on April 29, 2025. Plaintiff did not post the jury fee until August 14, 2026, which is over a year past the deadline. Thus, Plaintiff waived trial by jury by failing to timely pay the jury fee. (See Code Civ Proc., § 631, subds. (b), (c), (f); *Banks v. McMorris* (1975) 47 Cal.App.3d 723, 729.)

However, the Court has discretion to allow a trial by jury despite waiver of a trial by jury. (Code Civ Proc., § 631, subd. (g).) While the Court acknowledges Plaintiff did not file an Opposition or response to the Motion to Strike demonstrating why the Court should allow a trial by jury, the Court finds Plaintiff posted the requisite jury fee prior to the hearing on the Motion to Strike. (See 8/14/26 Notice of Posting.) Further, the Court finds trial was recently continued almost four months in this matter (9/2/26 Order), which allows defense counsel additional time to prepare for a jury trial rather than a bench trial, and the Motion to Strike states that Defendant's only alleged prejudice from a jury trial is increased cost. (Motion to Strike, pp. 4-6, Houser Decl.)

“ ‘The California Constitution guarantees the right to a jury trial in a civil action at law.’ (DiPirro v. Bondo Corp. (2007) 153 Cal.App.4th 150, 176.) “ ‘[T]rial by jury is “ ‘an inviolate right,” ’ ” “ ‘a basic and fundamental part of our system of jurisprudence. ... As such, it should be zealously guarded by the courts In case of doubt therefore, the issue should be resolved in favor of preserving a litigant's right to trial by jury.’ ” [Citation.]” (Ibid.)

In light of these circumstances, the Court finds there are just terms for the Court to exercise its discretion and allow a trial by jury despite waiver. (Code Civ Proc., § 631, subd. (g).)

Thus, the Motion to Strike is DENIED.

III.

Conclusion

& Order

Based on the foregoing reasons, Defendants Wells Fargo Bank, N.A., as Trustee for Merrill Lynch Mortgage Investors Trust Mortgage Loan Asset-Backed Certificates, Series 2004 WMC4; Ocwen Loan Servicing, LLC;

Western Progressive, LLC's Motion for Terminating Sanctions against Plaintiff or in the Alternative Continuance of Trial Date Due to Plaintiff's Failure to Comply with Discovery Order is DENIED as to the request for terminating sanctions. The request to continue trial is DENIED as moot.

Defendants Wells Fargo Bank, N.A., as Trustee for Merrill Lynch Mortgage Investors Trust Mortgage Loan Asset-Backed Certificates, Series 2004 WMC4; Ocwen Loan Servicing, LLC; Western Progressive, LLC's Motion to Strike Jury Demand is DENIED.

Moving parties are ordered to give notice.